



INTERNATIONAL TRADE BODIES

Trade bodies are an increasingly telling way in which multi-national companies or proprietor run organisations facilitate their trade with various parts of the world. For Southern Africa some of the most important trading partners are Southern African Development Community (SADC), the European Union (EU), African Growth and Opportunity Act (AGOA)

Sothern African Trade Bodies:

Southern African Development Community - <https://www.sadc.int/>

The headquarters of the intergovernmental Southern African Development Community (SADC) are in Gaborone, Botswana. The Southern African Development Community's (SADC) primary goals are to achieve economic development, peace and security, and growth; reduce poverty; raise the standard of living and quality of life for Southern Africans; and, through regional integration, assist the underprivileged.

Following independence from minority rule, there was active consultation in 1977 between representatives of Angola, Botswana, Lesotho, Mozambique, Swaziland, United Republic of Tanzania and Zambia, working together as Frontline States. This resulted in a meeting of the Foreign Ministries of the Frontline States in Gaborone, Botswana, in May 1979, which called for a meeting of ministers responsible for economic development. They were called Frontline States as they were committed to utilising their political, diplomatic, and military campaigns to overthrow colonialism and white minority rule in southern Africa. Thus SADC was formalized on the 1st April 1980 when all the black majority ruled states of Southern Africa signed the Lusaka Declaration in Lusaka, Zambia which was a document titled "Towards Economic Liberation". In 1992, newly independent Namibia joined the organisation and this was followed two years later by South Africa after the ushering in of the first democratically held election.

The SADC market has a combined income of US\$431 billion and a total population of 247 million (2007). With a Gross Domestic Product (GDP) of US\$282 billion, which accounts for 65% of the SADC market, South Africa has the largest economy. The Democratic Republic of Congo, which has 61 million people, is the most populous nation. Botswana, Mauritius, Namibia, and Swaziland, on the other hand, have populations of two million people or less. The GDP per person also varies greatly. The GDP per capita for Botswana is USD7,694 while it is expected to be USD264 for Mozambique and the Democratic Republic of the Congo USD166 respectively.



With the main goal of the of the bloc being to form common interest, in addition to support greater trade and investment flows between member states the SADC Free Trade Area (FTA) is key to achieving these goals. Thus the Free Trade Area came into being in 2008 with all 16 member states no active participants. Thus trade is enhanced through reduced tariffs paid between trade moved between member country countries. Mostly recently, the implementation for the SADC Real Time Gross Settlement System (SADC-RTGS) has lowered transaction costs as it has removed the need for correspondent banks. As of June 2021, eighty-three participating banks from all members states except Comoros are settling cross-border payments and settlements to suppliers and end customers in real time. Figures put the value of such transaction since the systems inception in 2013 to USD591.38 billion. Previously all transactions between SADC Member States were treated as international transactions and were processed through correspondent banking arrangements, which are costly and time-consuming. The benefit for the region is that SADC-RTGS has provided an inexpensive way to process cross-border payments, thereby facilitating trade.

Southern African Customs Union(SACU) - <https://www.sacu.int/>

Known as the oldest customs union in the world, SACU was founded in 1910 between Botswana, Lesotho, Namibia, South Africa and Swaziland. The structure of the customs union states that there is a single tariff applied to goods imported into the region and crucially no customs duties between member states. Thus there is an common external tariff applied to countries outside of the tariff. Furthermore the use of the South African Rand is a currency that can be utilised in all the said countries. The revenue collected by the customs union from members imports from outside the union is allocated to each member country in a revenue sharing formula that is dispensed in a quarterly instalments.

The Department of Trade and Industry - <http://www.thedtic.gov.za/>

The South African Chamber of Commerce and Industry - <https://sacci.org.za/>

European Union (EU) - https://european-union.europa.eu/priorities-and-actions/actions-topic/trade_en

The origins of the European Union (EU) started in November 1993 out of the Maastricht Treaty which was an agreement to unite Europe behind a single currency which was intended to enhance European political and economic integration. The EU thus has a unified trade, security



and foreign policy in addition to advanced cooperation between member states around immigration and other judicial affairs.

The Southern African Development Community (SADC) and the European Union (EU) have signed a new agreement on the 10 June 2016 that came into effect in October of that year. The agreement is known as SADC EPA (Economic Partnership Agreement) and consists of the South Africa, Namibia, Mozambique, Lesotho, Botswana and Eswatini (Swaziland). Demonstrating the power of the European Union, the said partnership excludes the other six members of the SADC region, namely the Democratic Republic of the Congo, Madagascar, Malawi, Mauritius, Zambia and Zimbabwe. These countries are viewed by the EU as part of negating EPA's with the EU as parts of regional groups such as Central or Eastern Africa. This puts these countries at a significant disadvantage when negotiating with the EU. The trade agreement effectively:

1. Grants 100% duty-free and quota-free access to all imports coming from Botswana, Lesotho, Mozambique, Namibia, and Swaziland.
2. The access to the EU market is permanent, full and free to all products.
3. The EU removes customs duties on 98.7% of imports coming from South Africa, under specific quantity quotas.

Nonetheless, provided that one has the requisite certificate of origin, and the EUR1 certificate, the duties for regional blocs will be minimal. This certificate reduces the amount of duties that the goods will pay in Europe when compared to other origin markets, thereby making the goods cheaper.

African Growth and Opportunity Act (AGOA) - <https://agoa.info/about-agoa.html>

The African Growth and Opportunity Act (AGOA) provides duty-free access to goods originating from certain sub-Saharan African countries (SSAs) into the USA. The first instalment of the act dates back to the year 2000. Initially signed for an eight year period it was extended by successive American presidents with various amendments to the list of items that allowed to be imported into the USA duty free. Currently the number of product tariff lines stands at over six thousand items. These items from basis of largely primary goods now comprise of manufactured items such as vehicle components,

chemicals, footwear, wine and various agricultural products. The current AGOA agreement is set to come to an end in 2025 and is sometimes utilised as golden goose for forcing US policy onto certain African counties.